

Planning, Organizing, and Staffing

Management is not a single activity. It is a set of interconnected functions that managers perform to achieve organizational goals. The previous lesson introduced the four functions of management: planning, organizing, leading, and controlling. This lesson examines three of these functions in depth – planning, organizing, and staffing – because they form the structural foundation of any organization. Without planning, there is no direction. Without organizing, there is chaos. Without staffing, there are no people to do the work. Each function requires specific knowledge, tools, and techniques. Moreover, modern management recognizes that staffing must go beyond simply filling positions; it must actively integrate inclusivity and gender equality to build fair, effective, and innovative workplaces.

This reading material analyzes the different functions of management, focusing on planning, organizing, and staffing. It explains the definition and nature of planning, types of plans, levels of planning, planning techniques and tools, and their application in decision-making. It covers the nature of organizing, types of organizational structures, organization theories, delegation, and formal and informal organizations. Finally, it discusses the definition and nature of staffing, including recruitment, selection, training and development, compensation and wages, performance evaluation, employee relations, employee movements, and rewards systems, with a special focus on integrating inclusivity and gender equality in staffing methods.

Part 1: Planning – Defining Direction

Planning is the first and most fundamental function of management. It sets the stage for everything that follows. Without a plan, an organization drifts, reacting to events rather than shaping them.

Definition and Nature of Planning

Planning is the process of setting goals and deciding how to achieve them. It involves determining what the organization wants to accomplish and selecting the best course of action to get there. Planning is future-oriented – it looks ahead and anticipates opportunities and threats. It is also continuous; plans must be revised as conditions change.

The nature of planning has several key characteristics. Planning is goal-oriented; every plan exists to achieve a specific objective. Planning is rational; it requires systematic thinking, not guesswork. Planning is flexible; rigid plans become obsolete in changing environments. Finally, planning involves choice; if there is only one way to do something, no planning is needed.

Types of Plans

Plans can be categorized by their time horizon, scope, and frequency of use.

By Time Horizon

Type	Time Frame	Purpose
Strategic plans	3-10 years	Long-term direction for the entire organization
Tactical plans	1-3 years	Medium-term actions for departments or divisions
Operational plans	Less than 1 year	Short-term, day-to-day actions for specific tasks

By Scope

Type	Scope	Example
Strategic plans	Entire organization	Entering a new market
Functional plans	Specific department	Marketing plan, financial plan, HR plan

By Frequency of Use

Type	Definition	Example
Standing plans	Used repeatedly for recurring situations	Policies, procedures, rules
Single-use plans	Created for a one-time situation	Budget, project plan, program

Different Levels of Planning in the Firm

Planning occurs at every level of management, but the focus and time horizon differ.

Level	Focus	Time Horizon	Example
Top management	Strategic planning (whole organization)	Long-term (3-10 years)	Deciding to expand internationally
Middle management	Tactical planning (department level)	Medium-term (1-3 years)	Planning how to implement the expansion
Lower management	Operational planning (daily tasks)	Short-term (daily, weekly)	Scheduling staff for the new branch

Planning Techniques and Tools

Managers use various techniques and tools to create effective plans.

Technique	Description	Best For
Forecasting	Predicting future conditions based on past data and trends	Anticipating sales, demand, or economic conditions

Budgeting	Allocating financial resources to different activities	Controlling costs and tracking performance
Scheduling	Determining when tasks will be performed	Managing timelines and deadlines
Gantt chart	Bar chart showing task durations and dependencies	Visualizing project schedules
PERT/CPM	Network diagram identifying critical path of tasks	Managing complex projects with many dependencies
Scenario planning	Developing multiple plans for different possible futures	Preparing for uncertainty

Application of Planning Tools and Techniques in Decision-Making

Planning and decision-making are inseparable. Every plan involves decisions about goals, resources, methods, and timelines. Planning tools support decision-making by providing data, structure, and analysis.

The decision-making process within planning typically follows these steps:

1. Identify the problem or opportunity
2. Gather relevant information
3. Develop alternative courses of action
4. Evaluate alternatives using planning tools (forecasts, budgets, scenarios)
5. Select the best alternative
6. Implement the plan
7. Monitor results and adjust as needed

For example, a manager deciding whether to launch a new product would use forecasting to estimate sales, budgeting to determine costs, and scenario planning to prepare for optimistic and pessimistic outcomes.

Part 2: Organizing – Structuring for Success

Once plans are set, managers must organize resources to execute those plans. Organizing involves arranging tasks, people, and other resources to work together toward organizational goals.

Nature of Organizing

Organizing is the process of arranging work, delegating authority, and coordinating activities to achieve organizational goals. It answers questions such as: Who does what? Who reports to whom? How are tasks grouped? How are decisions made?

The nature of organizing has several key characteristics. Organizing is structure-creating; it produces an organizational chart that shows reporting relationships. Organizing is resource-allocating; it assigns people, money, and equipment to tasks. Organizing is coordinating; it ensures different parts of the organization work together. Organizing is dynamic; structures must adapt as organizations grow and change.

Types of Organizational Structures

Organizational structure defines how tasks are divided, grouped, and coordinated. Different structures suit different strategies, sizes, and environments.

Functional Structure

Departments are grouped by function (marketing, finance, HR, operations). This structure is common in small to medium-sized firms. It promotes efficiency and specialization but can create silos where departments fail to communicate.

Divisional Structure

Departments are grouped by product, geographic region, or customer type. Each division operates like a separate company with its own functions. This structure suits large, diversified firms but can duplicate resources across divisions.

Matrix Structure

Employees report to both a functional manager and a project or product manager. This structure is common in project-based industries (construction, consulting, R&D). It

promotes flexibility and resource sharing but can create confusion due to dual reporting.

Flat Structure

Few or no levels of middle management between staff and executives. This structure is common in startups and small organizations. It promotes speed and employee empowerment but can overwhelm top managers.

Team-Based Structure

The organization is composed of self-managing teams with minimal hierarchy. This structure promotes collaboration and innovation but requires highly skilled, motivated employees.

Organization Theories and Application

Several theories explain why organizations are structured the way they are.

Theory	Core Idea	Application
Classical theory (Weber, Fayol)	There is one best way to organize; hierarchy and clear authority are essential	Traditional bureaucratic organizations
Human relations theory (Mayo)	Social relationships and employee morale affect productivity	Organizations that emphasize employee satisfaction
Contingency theory (Burns, Stalker)	The best structure depends on the environment; stable environments suit mechanistic structures; dynamic environments suit organic structures	Matching structure to environmental conditions
Systems theory	Organizations are open systems that interact with their environment	Understanding how departments are interdependent

Delegation

Delegation is the process of assigning authority and responsibility to subordinates to carry out specific tasks. It is essential because managers cannot do everything themselves.

Element	Definition	Example
Authority	The right to make decisions, give orders, and use resources	A supervisor can approve overtime requests up to 10 hours
Responsibility	The obligation to perform assigned tasks and achieve goals	A team leader must complete the project by Friday
Accountability	Being answerable for the results of one's actions	A manager must explain to senior leadership why the project was late

Principles of Effective Delegation

- Delegate the authority needed to complete the task, not just the task itself
- Be clear about expected results, deadlines, and standards
- Choose the right person for the task based on skills and development needs
- Provide support without hovering or micromanaging
- Follow up on progress without taking back the task

Barriers to Delegation

- Manager fears losing control
- Manager believes "I can do it better myself"
- Subordinate lacks confidence or skills
- Subordinate already has too much work
- Poor communication about expectations

Formal and Informal Organizations

Every workplace has both a formal and an informal organization. Managers must understand both.

Formal Organization

The official structure shown on the organizational chart. It specifies reporting relationships, job titles, policies, and procedures. The formal organization is planned, explicit, and stable.

Informal Organization

The unofficial relationships, social networks, and communication channels that emerge naturally among employees. The informal organization is unplanned, implicit, and flexible. It includes friendships, gossip networks, mentoring relationships, and cliques.

Why the Informal Organization Matters

- It can speed up or slow down communication
 - It can support or undermine formal authority
 - It often carries information faster than formal channels
 - It satisfies social needs that the formal organization ignores
 - Effective managers work with the informal organization, not against it
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Part 3: Staffing – Building the Workforce

Staffing is the function of management concerned with acquiring, developing, and retaining the organization's human resources. No plan, no matter how brilliant, can succeed without the right people to execute it.

Definition and Nature of Staffing

Staffing is the process of filling and keeping filled positions in the organizational structure. It involves identifying workforce needs, recruiting candidates, selecting the best fits, training and developing employees, compensating them fairly, evaluating their performance, managing their relations, and handling movements such as promotions, transfers, or separations.

The nature of staffing has several key characteristics. Staffing is continuous; organizations constantly need to fill positions as people leave, retire, or are promoted. Staffing is goal-oriented; every staffing activity should support organizational objectives. Staffing is influenced by external factors such as labor market conditions, laws, and cultural norms. Staffing is also increasingly focused on inclusivity and gender equality.

Recruitment

Recruitment is the process of attracting qualified candidates to apply for job openings. It is the first step in building a workforce.

Sources of Recruitment

Source	Advantages	Disadvantages
Internal (current employees)	Cheaper, faster, boosts morale, known quantity	Limits new ideas, creates internal competition
External (outside applicants)	Brings new ideas, broader pool	More expensive, slower, unknown quantity

Recruitment Methods

- Job postings on company website or job boards
- Employee referrals
- Social media recruiting (LinkedIn, Facebook)
- Campus recruiting
- Recruitment agencies
- Professional associations

Selection

Selection is the process of choosing the most qualified candidate from among those recruited. The goal is to predict which applicant will perform best in the job.

Common Selection Methods

Method	What It Measures	Strengths	Weaknesses
Application form	Basic qualifications, work history	Low cost, easy to screen	Limited information

Interview	Communication skills, fit, experience	Interactive, can probe	Subject to bias
Written test	Knowledge, skills, abilities	Standardized, objective	May not predict job performance
Work sample	Actual job tasks	Direct evidence	Time-consuming to administer
Assessment center	Multiple competencies through simulations	Comprehensive	Expensive
Background check	Verification of claims	Detects dishonesty	Legal restrictions

Reducing Bias in Selection

- Use structured interviews where all candidates are asked the same questions
- Use multiple interviewers rather than a single decision-maker
- Remove identifying information (name, gender, age) from applications when possible
- Base decisions on job-relevant criteria only
- Provide bias training for hiring managers

Training and Development

Once hired, employees need training to perform their current jobs and development to prepare for future roles.

Type	Focus	Time Frame	Example
Training	Current job skills	Short-term	Learning to use new software
Development	Future career growth	Long-term	Leadership program for high-potential employees

Common Training Methods

- On-the-job training (learning while doing)
- Classroom training (lectures, discussions)
- E-learning (online courses)
- Mentoring and coaching
- Job rotation (moving through different roles)
- Simulation and role-playing

Compensation and Wages

Compensation refers to all forms of financial returns and tangible benefits employees receive for their work. It must be competitive to attract and retain talent.

Components of Compensation

Component	Description	Examples
Direct financial (wages, salary)	Base pay for work performed	Hourly wage, monthly salary
Incentives	Pay tied to performance	Bonuses, commissions, profit-sharing
Benefits	Indirect compensation	Health insurance, retirement plans, paid leave
Non-financial	Intangible rewards	Recognition, meaningful work, work-life balance

Principles of Fair Compensation

- Pay should be competitive with the market
- Pay should be equitable (equal pay for equal work)
- Pay should motivate desired behaviors
- Pay should comply with legal requirements (minimum wage, overtime)

Performance Evaluation / Appraisal

Performance evaluation is the systematic assessment of how well an employee is performing their job. It provides feedback for improvement and information for decisions about pay, promotion, and training.

Common Performance Appraisal Methods

Method	Description
Rating scale	Supervisor rates employee on traits or behaviors (e.g., 1-5 scale)
Checklist	Supervisor checks off observed behaviors
Critical incident	Supervisor documents specific examples of good and poor performance
360-degree feedback	Employee receives feedback from supervisor, peers, subordinates, and self
Management by objectives (MBO)	Employee and supervisor set goals together; evaluation based on goal achievement

Common Rater Biases to Avoid

Bias	Description
Halo effect	One positive trait influences ratings of all traits
Horn effect	One negative trait influences ratings of all traits
Leniency bias	Rating everyone higher than deserved
Strictness bias	Rating everyone lower than deserved
Central tendency	Rating everyone in the middle

Bias	Description
Recency bias	Focusing only on recent performance

Employee Relations

Employee relations refers to the organization's efforts to maintain positive relationships with employees and address workplace concerns. Good employee relations reduce conflict, increase commitment, and improve retention.

Key Areas of Employee Relations

- Handling employee complaints and grievances
- Enforcing workplace policies fairly
- Maintaining open communication channels
- Ensuring a safe and respectful work environment
- Managing employee discipline and termination

Integrating Inclusivity and Gender Equality in Staffing

Modern management recognizes that staffing must go beyond simply filling positions. It must actively promote inclusivity and gender equality. This is not merely a legal requirement or a matter of social justice – it is also a strategic advantage. Diverse and inclusive workplaces are more innovative, make better decisions, and outperform homogeneous ones.

What Inclusivity and Gender Equality Mean in Staffing

Staffing Function	How to Integrate Inclusivity and Gender Equality
Recruitment	Use gender-neutral language in job postings; recruit from diverse sources (women's organizations, schools with diverse populations); ensure recruitment panels include women and underrepresented groups
Selection	Use structured interviews with standardized questions; remove identifying information from applications; train all hiring managers on unconscious bias; ensure selection criteria are job-relevant only

Staffing Function	How to Integrate Inclusivity and Gender Equality
Training and development	Provide equal access to training opportunities for all employees; offer mentorship programs for women and underrepresented groups; address unconscious bias in training content
Compensation	Conduct regular pay equity audits to identify and correct gender-based pay gaps; ensure equal pay for equal work; be transparent about compensation ranges
Performance evaluation	Use objective, job-relevant criteria; train evaluators on bias (e.g., women may be penalized for assertiveness that is rewarded in men); ensure diverse representation on evaluation panels
Employee relations	Establish clear channels for reporting discrimination and harassment; take complaints seriously and investigate promptly; create a culture where all employees feel respected and valued
Promotions and career advancement	Track promotion rates by gender and other demographics; provide sponsorship programs (senior leaders actively advocating for diverse talent); ensure promotion criteria are transparent and applied consistently

Benefits of Inclusive and Gender-Equal Staffing

Benefit	Explanation
Better decisions	Diverse teams consider more perspectives and avoid groupthink
Increased innovation	Different life experiences generate more creative ideas
Stronger talent pool	Excluding qualified candidates based on gender is wasteful
Higher employee engagement	Employees who feel respected are more committed

Benefit	Explanation
Improved reputation	Customers and partners prefer organizations with strong equity records
Legal compliance	Avoiding discrimination lawsuits and regulatory penalties

Employee Movements

Employees move through the organization in various ways. Managing these movements effectively supports career development and organizational continuity.

Types of Employee Movements

Movement	Direction	Purpose
Promotion	Upward	Higher position, more responsibility, higher pay
Demotion	Downward	Lower position, less responsibility (often disciplinary or performance-related)
Transfer	Lateral	Same level, different position or location
Separation	Out of the organization	Resignation, retirement, termination, layoff

Rewards System

A **rewards system** is the total set of financial and non-financial rewards employees receive for their contributions. It includes base pay, incentives, benefits, recognition, and career opportunities.

Types of Rewards

Type	Description	Examples
Intrinsic rewards	Psychological satisfaction from the work itself	Meaningful work, autonomy, mastery, purpose
Extrinsic rewards	Tangible rewards provided by the organization	Pay, bonuses, benefits, promotions, recognition

Designing an Effective Rewards System

- Align rewards with organizational goals (reward what matters)
- Ensure fairness (equal pay for equal work; consistent application)
- Provide both short-term and long-term incentives
- Include recognition (often more motivating than money for many employees)
- Ensure the system is transparent so employees understand how rewards are determined

Key Terms

Term	Definition
Planning	Setting goals and deciding how to achieve them
Organizing	Arranging tasks, people, and resources to work toward goals
Staffing	Filling and keeping filled positions in the organizational structure
Delegation	Assigning authority and responsibility to subordinates
Formal organization	Official structure shown on the organizational chart
Informal organization	Unofficial relationships and social networks among employees
Recruitment	Attracting qualified candidates to apply for job openings
Selection	Choosing the most qualified candidate from among applicants
Performance evaluation	Systematic assessment of how well an employee is performing
Intrinsic rewards	Psychological satisfaction from the work itself
Extrinsic rewards	Tangible rewards provided by the organization

Review Questions

1. Define planning. What are the key characteristics of planning?
2. Identify three types of plans based on time horizon (strategic, tactical, operational). For each type, state the time frame and give one example.
3. Identify three management theories from the organizing section (Classical theory, Human relations theory, Contingency theory, or Systems theory). For each theory, state the core idea and how it applies to organizing.
4. What is delegation? List the three elements of delegation (authority, responsibility, accountability) and explain each in one sentence.
5. Explain the difference between formal and informal organizations. Why should managers pay attention to the informal organization?
6. List the seven staffing functions covered in this lesson (recruitment, selection, training and development, compensation and wages, performance evaluation, employee relations, employee movements). For each, state one key activity.
7. What is the difference between training and development? Provide one example of each.
8. Explain how inclusivity and gender equality can be integrated into the staffing process. Choose three staffing functions (e.g., recruitment, selection, compensation, performance evaluation) and describe one specific action for each.
9. What is the difference between intrinsic rewards and extrinsic rewards? Provide one example of each.
10. Application question: A small retail company is growing rapidly and needs to hire five new sales staff. Describe the steps the manager should take from recruitment through selection. Then, explain how the manager can ensure the process is inclusive and free from gender bias.